

M/s. PROGEN RENEWABLES LIMITED

87 A, First Floor, Sathy Road, Muniappan Koil Street, Ganapathy, Coimbatore - 641 006.

Notes Forming part of the Financial Statement for the year ended March 31, 2025.

28.9 FOREIGN EXCHANGE TRANSACTIONS: -

- a) The Functional currency and Presentation currency of the company is Indian Rupee.
- b. Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and foreign currency at the date of transaction.
Foreign currency monetary items are reported using closing rate. Non-monetary items, which are carried in terms of historical cost denominated in a foreign currency, are reported using the exchange rate at the date of transaction.
- c) Exchange differences arise on the settlement of monetary items are recognized as a income or as expenses in the statement of profit and loss in the year in which they arise.

28.10 PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS: -

Provisions are recognized when there is a present obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and there is a reliable estimate of the amount of the obligation. Provisions are measured at the best estimate of the expenditure required to settle the present obligation at the Balance sheet date. Where no reliable estimate can be made, a disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources.

28.11 REVENUE RECOGNITION: -

Revenue is recognized only when it can be readily measured and it is reasonable to expect ultimate collection. Revenue from operations includes sale of goods and/or services and are recorded as invoice value exclusive of GST and net of returns/discounts.

28.11.1. Sale of Goods:

- a. Revenue should be recognized when the seller of the goods has transferred to the buyer in the goods for a consideration or
- b. All significant risks and rewards of ownership have been transferred to the buyers. And
- c. No significant uncertainty exists regarding the amount of consideration that will be derived from the sale of goods.

28.11.2 Sale of Services :

The Company, in its contract with customers, promises to install Solar Power Plant, which may be rendered in the form of engineering, procurement, and construction ("EPC") services through design-build contracts, and other forms of contracts. The recognition of revenue is based on contractual terms, which could be based on completion of the contract and linked payment schedule. At each reporting date, revenue is recognised based on the terms of the contract against work performed.

Other revenue from services is recognised as income as and when services are rendered and when no significant uncertainty as to the collectability exists.